

12	30-2025-01519940 Gomez vs. Chamberlin Care, LLC, a California Limited Liability Company	Defendant Chamberlin Care, LLC's Motion to Compel Arbitration is DENIED AS MOOT on the grounds that the parties appear to have settled the only remaining claim in this action (the PAGA claim). This denial is without prejudice should the PAGA settlement not be approved by the court.
13	30-2026-01545264 Torreblanca Bahena vs. L837, Inc., a California corporation	Defendant L837, Inc.'s ("Defendant") Motion to Compel Arbitration is DENIED. The court GRANTS Defendant's request for judicial notice of Defendant's Notice and Acknowledgment of Receipt – Civil of the class action complaint. (Cal. Evid. Code § 452(d).) The court GRANTS Defendant's request for judicial notice that L837, Inc. is the legal entity name of the dealership that does business as Anaheim Hyundai. (Cal. Evid. Code § 452(h).) The court DENIES Defendant's requests for judicial notice of the arbitration rules as they are not the proper subject for judicial notice. The court GRANTS Plaintiff's requests for judicial notice of the trial court's minute order dated June 4, 2025, in the case <i>Olsaba v. Lithia Motors, Inc., et al.</i>, Los Angeles Superior Court Case No. 24STCV31335, denying Defendant Lithia Motors, Inc.'s (and one of its subsidiaries) motion to compel arbitration, and the California Court of Appeal's (Second District) opinion in the appeal <i>Olsaba v. Lithia Motors, Inc., et al.</i> (No. B348587), issued May 26, 2026, affirming the trial court's June 4, 2025 denial. (Cal. Evid. Code § 452(d).) The court OVERRULES Plaintiffs' objections to the declaration of Michelle Rummer as she has established sufficient foundation for her statements based on her position and review of L837's records. The court OVERRULES Defendant's objections to Plaintiffs' declarations as they go to the weight, and not the admissibility of the evidence. The court OVERRULES Defendant's objections to the trial court and appellate court opinions in <i>Olsaba v. Lithia Motors, Inc., et al.</i> as they are not inadmissible hearsay evidence. (Cal. Evid. Code § 1280 [hearsay exception for record by public employee]; <i>People v. Woodell</i> (1998) 17 Cal. 4th 448, 458 ["[A] court may judicially notice an opinion under Evidence Code section 452 or admit it into evidence under the official record exception to the hearsay rule (Evid.Code, § 1280)[.]"].)

	<u>I. Existence of the Agreement</u> “The petitioner bears the burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence, while a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense.” (<i>Ruiz v. Moss Bros. Auto Grp.</i> (2014) 232 Cal. App. 4th 836, 842.) The trial court sits as the trier of fact, weighing all the affidavits, declarations, and other documentary evidence, and any oral testimony the court may receive at its discretion, to reach a final determination. (<i>Id.</i>) The petitioner must show that the plaintiff employee “was the person who electronically signed the [arbitration agreement]” with sufficient evidence that the electronic signature “was the act of [the plaintiff employee].” (<i>Id.</i> at 842.) “[A]ny writing must be authenticated before the writing, or secondary evidence of its content, may be received in evidence.” (<i>Id.</i> at 843.) “<i>The act of the person may be shown in any manner</i>, including a showing of the efficacy of any security procedure applied to determine the person to which the electronic record or electronic signature was attributable.” (<i>Id.</i> [emphasis in original].) A petitioner must show “how [the plaintiff employee’s] printed electronic signature, or the date and time printed next to the signature, came to be placed on the [arbitration] agreement,” so as to show how petitioner ascertained that the electronic signature was “the act of” the plaintiff employee. (<i>Id.</i> at 844.) “In the face of [a plaintiff employee’s] failure to recall electronically signing the [arbitration] agreement, the fact the [] agreement had an electronic signature on it in the name of [a plaintiff employee], and a date and time stamp for the signature, [i]s insufficient to support a finding that the electronic signature was, in fact, ‘the act of’ [the plaintiff employee].” (<i>Id.</i>) “[A] party may present evidence that the signatory was required to use a unique, private login and password to affix the electronic signature, along with evidence detailing the procedures the person had to follow to electronically sign the document and the accompanying security precautions.” (<i>Garcia v. Stoneledge Furniture LLC</i> (2024) 102 Cal. App. 5th 41, 53.) To carry its burden, the petitioner must show that “<i>only</i> [the plaintiff employee] could have placed the electronic signature on the arbitration agreement.” (<i>Id.</i> [emphasis in original].) The burden is not met when an employer defendant “did not detail the security precautions regarding the use of the [] username and password; the arbitration agreement lacked a date, time, or IP address; and the agreement contained no indication it was created within the
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		[onboarding] system.” (<i>Id.</i> at 54.) Michelle Rummer, the Senior Manager, People Operations for Lithia Motors Support Services, Inc. (“LMSS”), provides her declaration regarding the Arbitration Agreement. (Rummer Dec. ¶ 2.) LMSS is a shared management services company that provides administrative services, including human resources, advertising, and information technology (“IT”), to all dealerships and subsidiaries within the LMI automotive network. (<i>Id.</i>) Ms. Rummer states the following: • Plaintiffs were hired by L837 on October 20, 2025. (Rummer Dec. ¶ 6.) • In 2025, LMSS utilized the Workday Human Capital Management (“Workday”) as its job applicant tracking and onboarding system. LMSS used Workday to allow all dealerships within the LMI automotive network, including L837, Inc., to publish job postings, track applicants, schedule interviews, and onboard new employees. (Rummer Dec. ¶ 10.) • In order to successfully onboard, Workday requires a candidate to create an account by inputting their email address and creating a password. Following the creation of an account by which the candidate is the only person who knows of the password, the candidate must navigate to the arbitration agreement and click on the task to complete the document and electronically sign their employment agreements and acknowledgements using Adobe Sign. (Rummer Dec. ¶ 11.) • Based on the October 21, 2025 Adobe Sign Final Audit Report (the “Bahena Report”), on October 21, 2025 at 2:19 p.m. Pacific Daylight Time (PDT), Mr. Bahena entered his name as “Jerry Torreblanca-Bahena” and acknowledged and agreed to be bound by the “Lithia & Driveway Binding Arbitration Agreement” (the “Bahena Agreement”) via electronic signature. (Rummer Dec. ¶ 13.) • Based on the October 14, 2025 Adobe Sign Final Audit Report (the “Saltalamacchia Report”), on October 14, 2025 at 3:23 a.m. PDT, Mr. Saltalamacchia entered his name as “Umberto Saltalamacchia” and acknowledged and agreed to be bound by the “Lithia & Driveway Binding Arbitration Agreement” (the “Saltalamacchia Agreement”) via electronic signature. (Rummer Dec. ¶ 15.) • Based on the October 8, 2025 Adobe Sign Final Audit Report (the “Rodriguez Report”), on October 8, 2025 at
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		7:41 a.m. PDT, Mr. Rodriguez entered his name as “Alfredo Rodriguez” and acknowledged and agreed to be bound by the “Lithia & Driveway Binding Arbitration Agreement” (the “Rodriguez Agreement”) via electronic signature. (Rummer Dec. ¶ 17.) Plaintiffs challenge Ms. Rummer’s ability to authenticate the electronic arbitration agreements on the grounds that “her statements involving activities before [she began working for Defendant] cannot be based on personal knowledge and must be based on hearsay.” (<i>LAOSD Asbestos Cases</i> (2023) 87 Cal. App. 5th 939, 951.) However, this argument is only valid if the corporate declarant attests to facts based on her personal knowledge, rather than as the custodian of records. (<i>Id.</i> [noting that the defendant failed to demonstrate that the exhibits attached to the corporate representative’s declaration satisfied the business records exception to hearsay pursuant to Evid. Code § 1271].) “[T]he custodian of a document need not have been present or employed when the document was created or signed to authenticate a document in a company’s files.” (<i>Iyere v. Wise Auto Grp.</i> (2023) 87 Cal. App. 5th 747, 758.) Plaintiff Rodriguez denies that the email Ms. Rummer claims is associated with his Workday account (and used to execute the Arbitration Agreement) is his. (Rodriguez Dec. ¶ 9.) However, Ms. Rummer explains in her supplemental declaration: • The previous ownership of the Dealership provided a roster of employees and their contact information. On that roster, Plaintiff ALFREDO RODRIGUEZ’s (“Mr. Rodriguez”) email was listed as “fredyrodriquez@icloud.com.” This was the recorded email address on Mr. Rodriguez’s Workday account. (Rummer Dec. ¶ 3.) • Generally, if an employee is unable to access their account due to incorrect login credentials, the employee will contact my team to request a temporary password. My team first verifies the employee’s identity using the employee’s personal information, such as date of birth and social security number. Upon verification, the temporary password is provided to the employee. The employee can then access their Workday account. (<i>Id.</i> ¶ 5.) • On October 8, 2025, Mr. Rodriguez signed onto his Workday account through a password reset. Mr. Rodriguez executed the binding Arbitration Agreement on October 8, 2025 at 7:41 a.m. Since
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		“fredyrodriquez@icloud.com” was the email address associated with Mr. Rodriguez’s Workday account at that time, the Adobe Sign Final Audit Report (the “Rodriguez Report”) reflects that the Arbitration Agreement was completed using that email address. (<i>Id.</i> ¶ 6.) • Mr. Rodriguez updated his email address to “fredyrodriquez10@icloud.com” at 7:43 a.m., two minutes after signing the Arbitration Agreement. (<i>Id.</i> ¶ 7, Ex. A.) The court finds that Defendant has met its burden to establish the existence of Plaintiff Rodriguez’s arbitration agreement. Plaintiff Bahena testified that (i) he accessed Lithia’s onboarding documents through an onsite computer of Defendant; (ii) that his account remained open and unprotected while he stepped away from the computer during his meeting; and (iii) he observed his supervisor accessing the computer with his Workday account open and potentially executing the Arbitration Agreement on his behalf without his consent. (Bahena Dec. ¶¶ 4, 10-12.) The court finds that Plaintiff Bahena’s claims are based on speculation. Accordingly, the court finds that Defendant has met its burden to establish the existence of Plaintiff Bahena’s arbitration agreement. Plaintiff Saltalamacchia contends that he faced language barriers and does not recall ever being sent, presented with, reviewing, or signing the Arbitration Agreement. (Saltalamacchia Dec. ¶¶ 6-7.) “Generally, a party may not avoid enforcement of an arbitration provision because the party has limited proficiency in the English language.” (<i>Caballero v. Premier Care Simi Valley LLC</i> (2021) 69 Cal. App. 5th 512, 518.) “If a party does not speak or understand English sufficiently to comprehend a contract in English, it is incumbent upon the party to have it read or explained to him or her.” (<i>Id.</i> at 518-519.) A plaintiff cannot challenge the existence of a contract when “there is no evidence he asked . . . for a Spanish version of the agreement or assistance in understanding the English version.” (<i>Id.</i> at 519.) Plaintiff Saltalamacchia states that a Lithia corporate email account was used for his Workday account and speculates that another employee, Defendant and/or LMSS could have accessed his account. However, he fails to provide any evidence that his corporate e-mail could be accessed by anyone other than himself. The court finds that Defendant has met its burden to establish the existence of Plaintiff Saltalamacchia’s arbitration agreement.
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II. Unconscionability

“[U]nconscionability has both a ‘procedural’ and a ‘substantive’ element, the former focusing on ‘oppression’ or ‘surprise’ due to unequal bargaining power, the latter on ‘overly harsh’ or ‘one-sided’ results.” (*Armendariz v. Found. Health Psychcare Servs., Inc.* (2000) 24 Cal. 4th 83, 114.) “The prevailing view is that [procedural and substantive unconscionability] must both be present in order for a court to exercise its discretion to refuse to enforce a contract or clause under the doctrine of unconscionability.” (*Id.*) “But they need not be present in the same degree.” (*Id.*) “Essentially a sliding scale is invoked which disregards the regularity of the procedural process of the contract formation, that creates the terms, in proportion to the greater harshness or unreasonableness of the substantive terms themselves.” (*Id.*) “In other words, the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (*Id.*)

“Where a contract has several distinct objects, of which one at least is lawful, and one at least is unlawful, in whole or in part, the contract is void as to the latter and valid as to the rest.” (Cal. Civ. Code § 1599.) “If the central purpose of the contract is tainted with illegality, then the contract as a whole cannot be enforced.” (*McManus v. CIBC World Markets Corp.* (2003) 109 Cal. App. 4th 76, 101.) “If the illegality is collateral to the main purpose of the contract, and the illegal provision can be extirpated from the contract by means of severance or restriction, then such severance and restriction are appropriate.” (*Id.*)

A. Procedural Unconscionability

Defendant concedes that there is some level of procedural unconscionability as the Arbitration Agreement was a contract of adhesion required as a condition of employment. (Mot. at pp. 7-9.) Plaintiffs also contend that they were pressured to sign the documents so they could return to work or could lose their jobs, and, as to Plaintiff Saltamacchia, was presented to him in English rather than his native language. (Bahena Dec. ¶¶ 5, 11; Saltamacchia Dec. ¶¶ 5-6; Rodriguez Dec. ¶¶ 6-7.) Thus, there is substantial evidence of procedural unconscionability.

The appellate and trial court in *Olsaba* reviewing this same agreement determined that there was a moderate level of unconscionability. (Plaintiffs’ RJN, Ex. B at p. 4.)

B. Substantive Unconscionability

Plaintiff argues that the Arbitration Agreement is substantively unconscionable because it unlawfully waives PAGA representative rights. Courts have stated that such waivers demonstrate that agreement is unconscionable as “one-sided” because “[t]hese requirements can fairly be read to limit only the employee's rights.” (*Hasty v. Am. Auto. Assn. et al.* (2023) 98 Cal. App. 5th 1041, 1062.) Further, “an employee's right to bring a claim under the Act is not waivable.” (*Id.* at 1063.) “The ban on *all* representative Act actions thus remains unconscionable because it requires an employee to waive a right that is not waivable.” (*Id.*) Thus, the PAGA waiver demonstrates substantive unconscionability. Defendant argues that this action does not include a PAGA claim. However, “for purposes of an unconscionability analysis, it is irrelevant that [an employee] did not assert any PAGA claims.” (*Stoker v. Blue Origin, LLC* (2026) 120 Cal. App. 5th 91, 112 n.6.) The court finds that this provision is unconscionable.

Plaintiffs also contend that the scope of the Arbitration Agreement overbroad because it extends beyond employment claims, and lasts indefinitely. Courts have deemed unconscionable broad arbitration agreement that require an employee to “arbitrate claims that are unrelated to her employment” with the defendant employer. (*Cook v. Univ. of S. California* (2024) 102 Cal. App. 5th 312, 321 [discussing an agreement that requires the arbitration of “all claims, whether or not arising out of Employee's University employment, remuneration or termination, that Employee may have against the University or any of its related entities, including but not limited to faculty practice plans, or its or their officers, trustees, administrators, employees or agents, in their capacity as such or otherwise; and all claims that the University may have against Employee.”].) However, unlike in *Cook*, this agreement specifically limits itself to disputes “arising out of or related to my employment, including regarding the terms of my own pay plan, termination from employment, or any other association I have with the Company.” Thus, the court does not find this language unconscionably overbroad.

Plaintiffs also argue that the agreement is substantively unconscionable because it extends beyond Plaintiffs and Defendant to benefit third-party beneficiaries of Defendant

		without justification or any reciprocal benefit to Plaintiffs. The Arbitration Agreement includes in its definition of “Company” L837’s “affiliates, parents, subsidiaries, predecessors, successors, owners, directors, officers, managers, employees, agents, and parties affiliated with its employee benefit and health plans.” Courts have found similar provisions unconscionable because “[t]he plain language of the arbitration agreement thus provides a significant benefit to [defendant employer’s] related entities without any reciprocal benefit to [plaintiff employee].” (<i>Cook</i>, 102 Cal. App. 5th at 328.) Defendant argues that the provision is not one-sided in that it somehow binds Defendant’s “affiliates, parents, subsidiaries, predecessors, successors, owners, directors, officers, managers, employees, agents, and parties affiliated with its employee benefit and health plans” to an agreement to arbitrate any claims they may have against Plaintiffs. However, Defendant provides no authority for the proposition that it could bind these third parties to the Arbitration Agreement when they are not signatories to the agreement. The court finds that this provision is unconscionable as one-sided. Finally, Plaintiffs argue that the Arbitration Agreement contains an unconscionable arbitration fee-shifting provision, which primarily benefits Defendant. Specifically, Plaintiffs are concerned with the provision requiring that “[o]ffers of compromise shall be served on the other party at least 14 days before the arbitration hearing commences and shall not be disclosed to the arbitrator until after the arbitral award is issued.” (Rummer Dec., Ex. B.) Defendant claims that this provision only applies if the parties decide to serve an offer of compromise, but the use of the term “shall” implies that the offers are required, not optional. The agreement goes on to say that “[t]he arbitrator shall give the same force and effect to offers of compromise as an offer of judgment under Rule 68 of the Federal Rules of Civil Procedure.” (Rummer Dec., Ex. B.) FRCP 68 provides, in pertinent part that: “If the judgment that the offeree finally obtains is not more favorable than the unaccepted offer, the offeree must pay the costs incurred after the offer was made.” (Fed. R. Civ. Proc. § 68(d).) Plaintiffs argue that this term would require Plaintiffs to bear costs that the employee would not have had to pay had the employee’s claims been litigated in court. Courts have stated that the “policy in favor of allowing employees to bring wage suits would be undermined by permitting section 998 [concerning offers of compromise] to require an employee to pay costs if unsuccessful[.]” (<i>Chavez v. California Collision, LLC</i> (2024) 107
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	Cal. App. 5th 298, 310.) “[T]he specific one-way cost and fee shifting provisions in [the] Labor Code . . . take precedence over the more general ones in sections 998 and 1032.” (<i>Id.</i>) Defendant argues that FRCP 68 would be applied if the claim were brought in court, but paired with the requirement that Plaintiffs shall serve offers of compromise, these provisions unconscionably alter the fee-shifting in Defendant’s favor. The court should not sever unconscionable terms if “the central purpose of the contract is tainted with illegality.” (<i>Ramirez v. Charter Commc'ns, Inc.</i> (2024) 16 Cal. 5th 478, 516.) “In deciding whether to sever terms rather than to preclude enforcement of the provision altogether, the overarching inquiry is whether the interests of justice would be furthered by severance; the strong preference is to sever <i>unless</i> the agreement is ‘permeated’ by unconscionability.” (<i>Hasty v. Am. Auto. Assn. et al.</i> (2023) 98 Cal. App. 5th 1041, 1064.) When “the arbitration agreement is permeated with unconscionability, . . . the trial court could not simply sever the offending provisions.” (<i>Id.</i> at 1065.) “Rather, the trial court would have needed to rewrite the arbitration agreement, creating a new agreement to which the parties never agreed.” (<i>Id.</i>) “Moreover, upholding this type of agreement with multiple unconscionable terms [in addition to the high level of procedural unconscionability] would create an incentive for an employer to draft a one-sided arbitration agreement in the hope employees would not challenge the unlawful provisions, but if they do, the court would simply modify the agreement to include the bilateral terms the employer should have included in the first place.” (<i>Id.</i>) The court finds that in light of the PAGA waiver, the requirement that Plaintiffs arbitrate claims against third-party entities without a mutual agreement that they do the same, and the requirement that Defendant and Plaintiffs shall provide offers of compromise that may improperly shift the fees and costs Plaintiffs could recover in court, the subject arbitration agreement is permeated with unconscionability, and these terms should not be severed. The appellate and trial court in <i>Olsaba</i> reviewing this same agreement determined that the PAGA waiver and FRCP Rule 68 fee-shifting clauses were substantively unconscionable, among other terms that Plaintiffs do not challenge in their opposition. (Plaintiffs’ RJN, Ex. B at p. 4-8.) The appellate court concluded that “the trial court did not abuse its discretion in refusing to sever the offending provisions,” and instead finding the agreement unenforceable. (<i>Id.</i> at p. 11 “[T]he multiple
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		substantive unconscionable provisions against a backdrop of not insignificant procedural unconscionability are indicative of a ‘systematic effort to impose arbitration on an employee not simply as an alternative to litigation, but as an inferior forum that works to the employer's advantage.’”].) Accordingly, the court denies Defendant’s Motion to Compel arbitration on the grounds of procedural and substantive unconscionability. Defendant is ordered to give notice of this ruling.
14	30-2026-01546800 Castellanos vs. Anza Management Company	Defendant Anza Management Company’s (“Defendant”) Motion to Compel Arbitration, Strike Class Claims, and Dismiss or Stay Proceedings Pending Arbitration is GRANTED. Plaintiff’s class claims are DISMISSED, Plaintiff’s individual claims are compelled to arbitration, and the remaining representative PAGA claim is STAYED pending completion of arbitration. The court OVERRULES Plaintiff’s objections to the Maria Chapman declaration as an amended declaration has been provided signed under penalty of perjury, a certified translation of the arbitration agreement has been provided, and Ms. Chapman has established adequate foundation for her statements based on her position and review of documents. The court declines to rule on Plaintiff’s Objections to Defendant’s counsel’s declaration as counsel’s statements were not necessary to the court’s ruling. <u>I. Existence of the Agreement</u> “The petitioner bears the burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence, while a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense.” (<i>Ruiz v. Moss Bros. Auto Grp.</i> (2014) 232 Cal. App. 4th 836, 842.) The trial court sits as the trier of fact, weighing all the affidavits, declarations, and other documentary evidence, and any oral testimony the court may receive at its discretion, to reach a final determination. (<i>Id.</i>) The petitioner must show that the plaintiff employee “was the person who electronically signed the [arbitration agreement]” with sufficient evidence that the electronic signature “was the act of [the plaintiff employee].” (<i>Id.</i> at 842.) “[A]ny writing must be authenticated before the writing, or secondary evidence of its content, may be received in evidence.” (<i>Id.</i> at 843.) “<i>The act of the person may be shown in</i>